GLOBAL SPORTS FOOTWEAR MARKET: PERFORMANCE OVERVIEW (2018-2026)

TEAM BOCCONI | **Data Sights 7.0** | **IIM Kashipur**

SDA Bocconi Asia Center, Mumbai | Milan

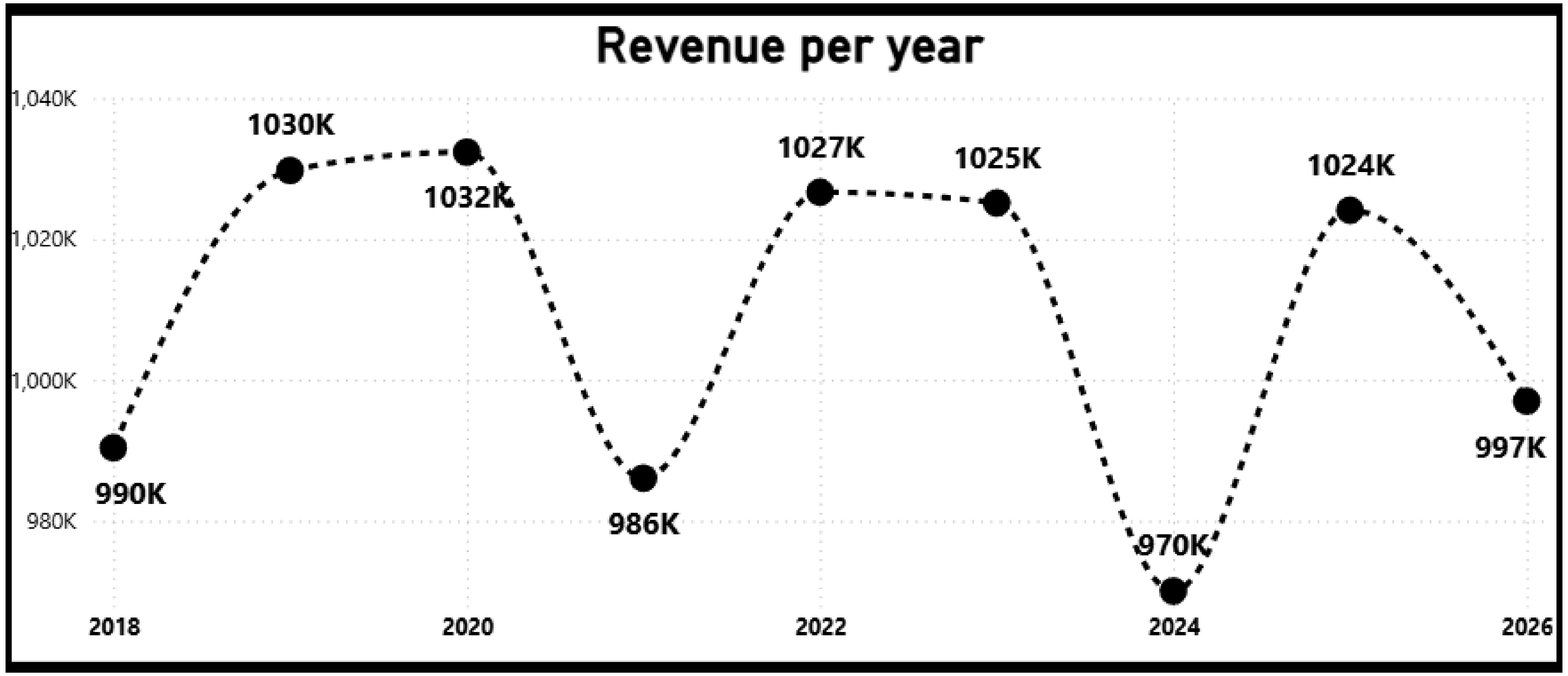
SRIJAN

Total Revenue:
$9.08M

Total units sold :
75,000

Total Countries :
6

Total Categories:
5



CAGR
8.33%

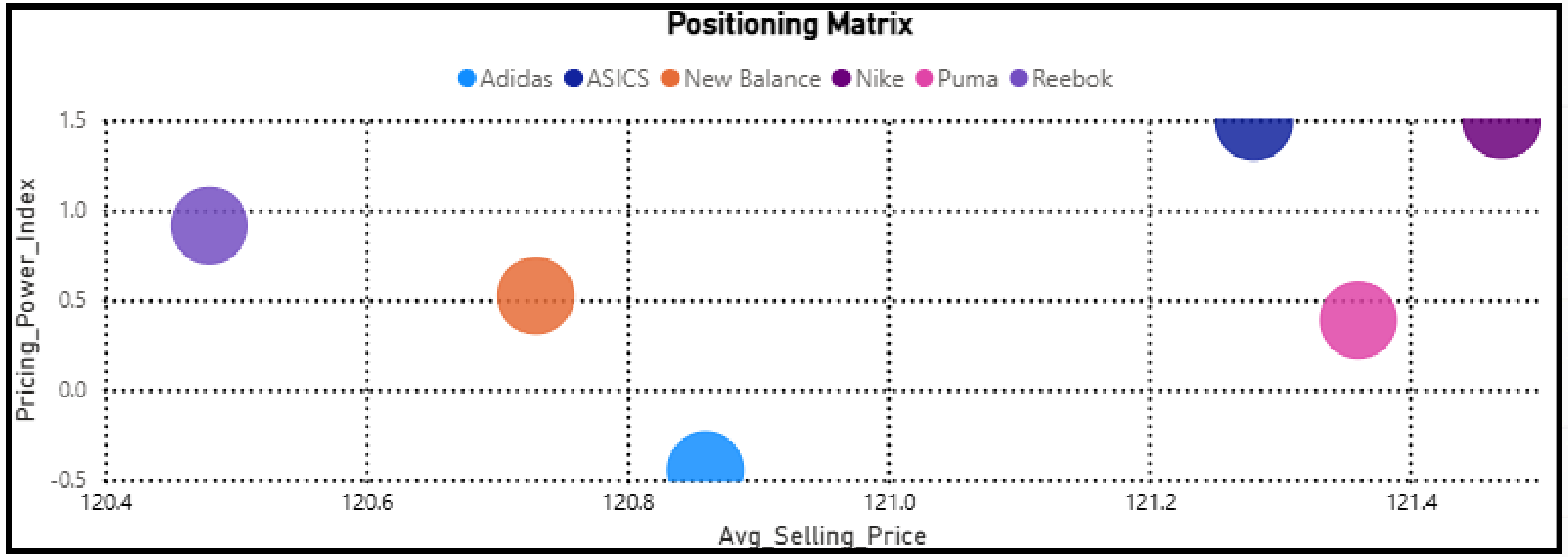
Average Discount :
13.33%

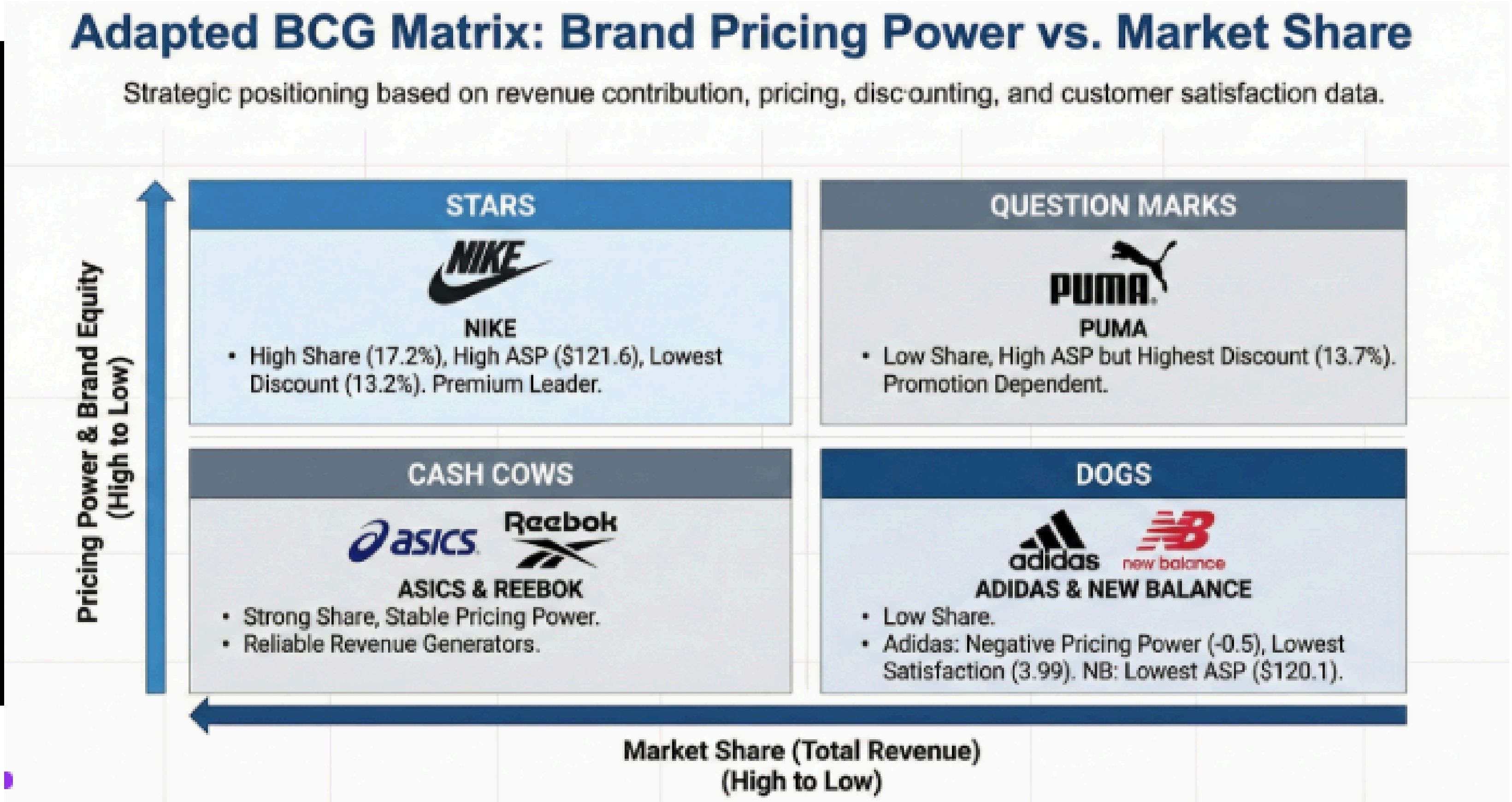
Global Customer Satisfaction:
4.00/5

Average Selling Price (ASP):
$121.03

Market Performance | Brand Portfolio | Discount Strategy | Geographic Market | Customer Segmentation | Category Portfolio | Final Strategy

BRAND PORTFOLIO DIAGNOSTIC: PERFORMANCE & PRICING POWER





- Revenue & Market Leadership

Nike leads with a 17.2% revenue share, generating $782K.
Puma contributes the least, with $735K in revenue.

The Discounting Paradox (Customer Satisfaction)

- Heavy discounting doesn't guarantee loyalty: Adidas offers the deepest markdowns but has the lowest satisfaction score (3.99).
- Customer satisfaction is highest when discounts stay in the moderate 11–20% range.
- Excessive markdowns reduce perceived brand value and hurt the customer experience.

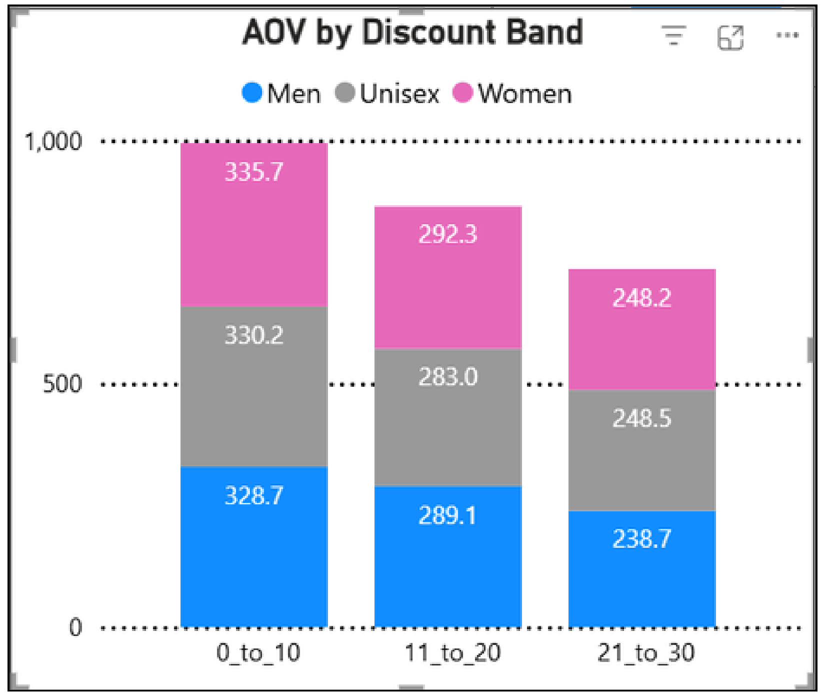
Pricing vs. Promotion Divide

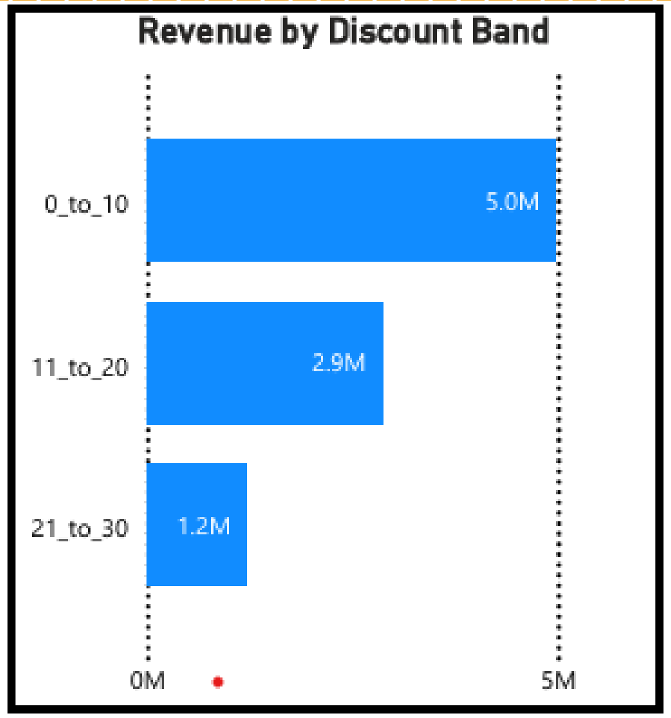
- Premium Play: Nike sets the tone with the highest Average Selling Price (ASP) of $121.6, while keeping discounts at just 13.2%.
- Promotion Reliance: Puma and Adidas lean heavily on markdowns, offering average discounts of 13.7% and 13.6% respectively making them more dependent on promotions to drive sales.

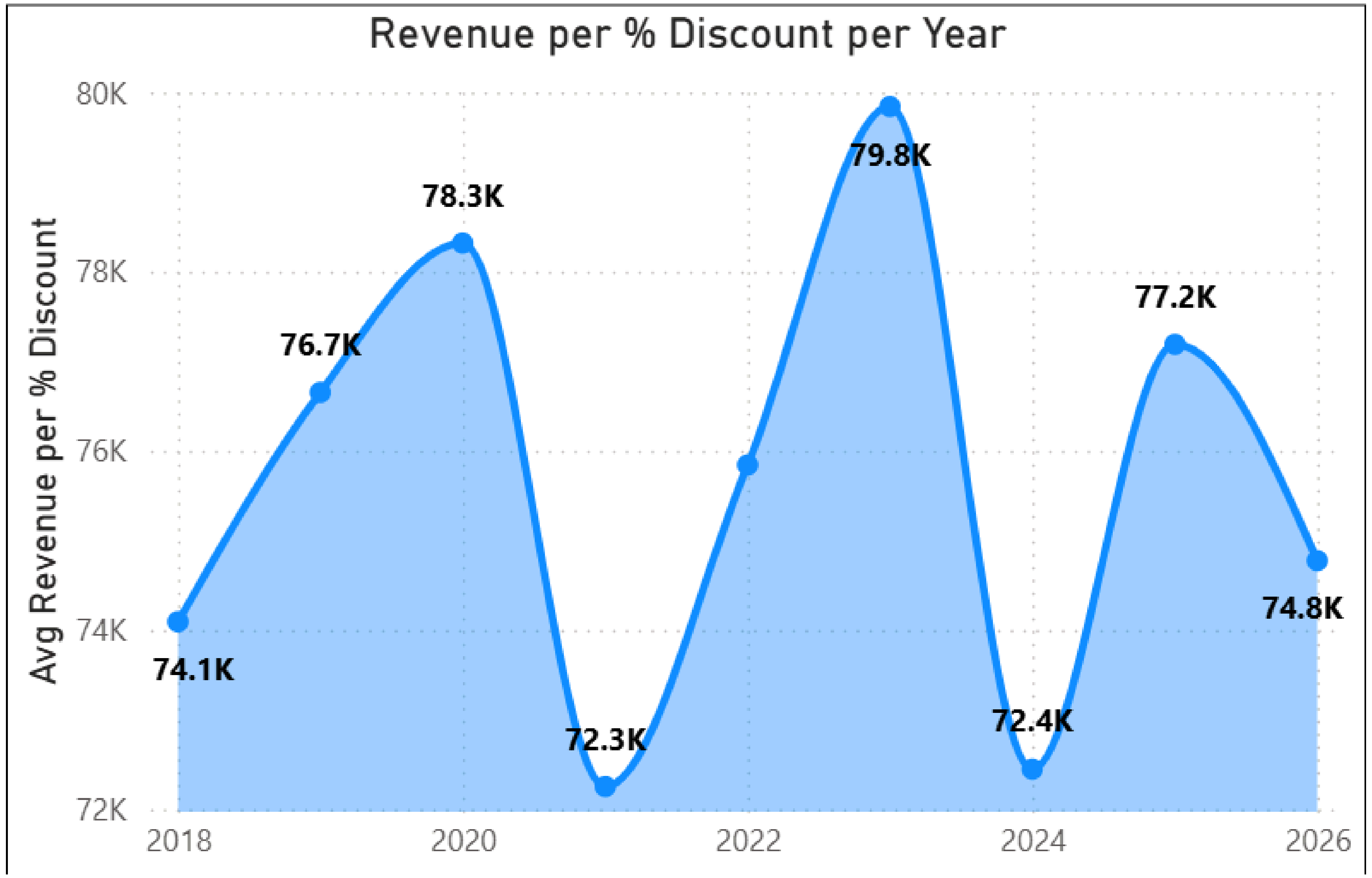
Strategic Implication (The Bottom Line)

- The portfolio must reduce reliance on deep discounts, especially for Adidas and Puma.
- Excessive markdowns erode pricing power and weaken brand equity.
- Nike's model low discounts paired with a high ASP offers a stronger framework to restore value perception.
- Shifting toward this premium-led approach will protect long-term brand strength and customer trust.

PHASE OUT DEEP PROMOTIONS: CAP DISCOUNTS AT 10% TO PROTECT AOV AND MAXIMIZE REVENUE







Revenue & Volume Drop at Higher Discounts (Diminishing Returns)

- The **0–10% discount range is the real engine of the business**, driving the highest revenue at 5.0M and the strongest unit sales across all segments (13K Men, 12K Unisex, 13K Women).
- Once discounts climb to the 21–30% range, revenue collapses to just 1.2M, and unit volume shrinks to only 4K across all groups.

Deep Discounts Don't Improve Satisfaction

- Customer satisfaction stays flat at around 4.00, no matter the discount level.
- The 11–20% band edges slightly higher (Women at 4.01), but the difference compared to the 0–10% band (Women at 4.00) is negligible.

Average Order Value (AOV) Gets Cannibalized

- Heavy discounting erodes transaction value.
- Women's AOV falls from 335.7 in the 0–10% band to 248.2 in the 21–30% band.
- Men's AOV shows a similar drop, sliding from 328.7 to 238.7.

Strategic Recommendation

- Keep **discounts limited to the 0–10% range** to protect margins and preserve AOV, since this is where natural demand peaks.
- **Eliminate the 21–30% discount band entirely,** as it fails to drive volume and only subsidizes purchases that would likely occur at lower discount levels

PRIORITIZE INDIA & USA FOR PREMIUM VALUE; DEFEND UAE VOLUME

Volume vs. Value

- The UAE leads in total revenue at 1.55M.
- India has the highest Average Order Value (AOV) at $304.73, showing strong value per transaction.

Premium Market Density

- The USA is the clear premium market leader.
- India, Pakistan, and the USA all have 34% high-income customers.
- Despite this, Pakistan's revenue is lowest (1.47M), pointing to untapped potential.

Strategic Recommendations

Invest in India's Digital Growth

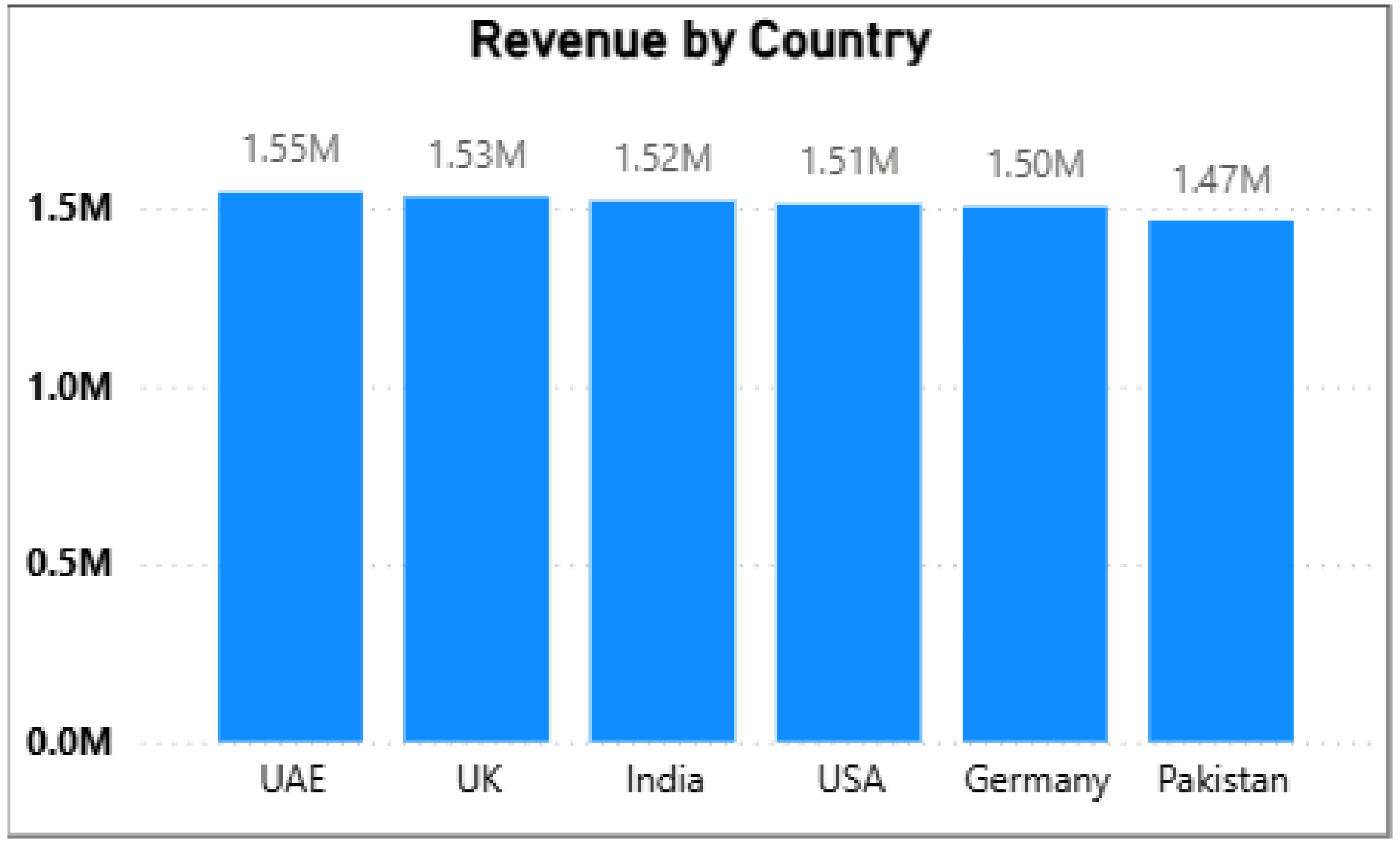
- India has the highest AOV and strong high-income demographics but weaker online penetration (49%).
- Boost digital marketing and infrastructure to unlock high-margin growth.

Run Premium Campaigns in the USA

- Focus on exclusive, high-tier product launches in the USA instead of volume-based promotions.

. Review UK Discounts

- Audit the UK's pricing strategy. Heavy discounting (13.6%) is hurting profitability and brand strength.

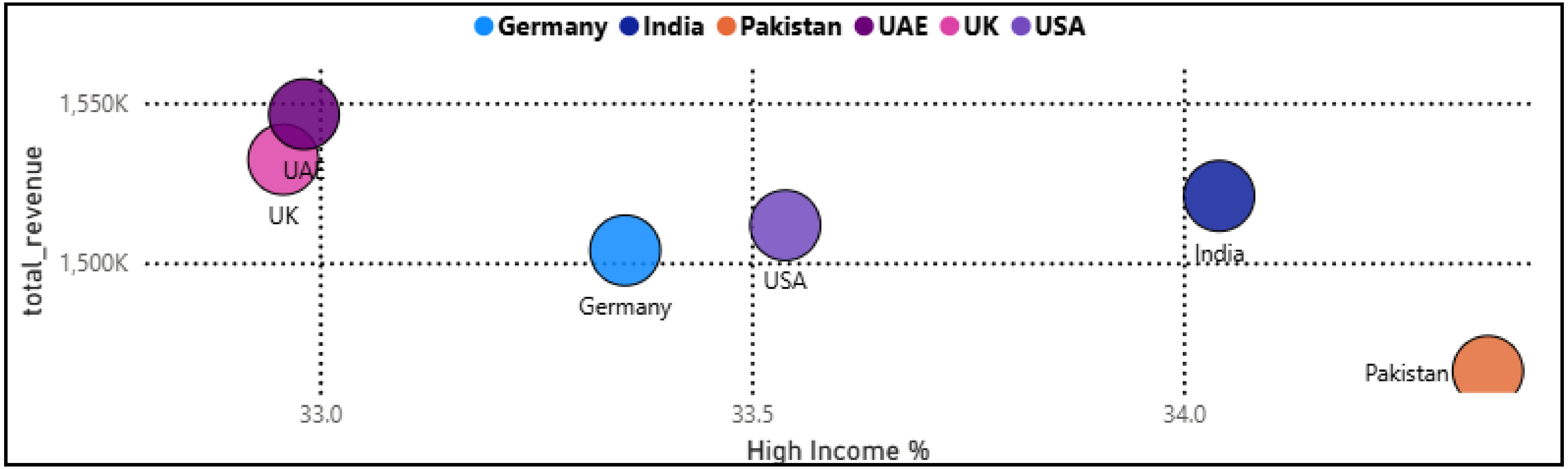


Channel Mix Consistency

- Online revenue share is steady worldwide, around 50%.
- Germany is the most digital (51% online), while India is slightly lower at 49%.

Margin Risk

- The UK is the most discount-heavy market, with 13.6% average discounts, putting margins at risk.



CAPITALIZE ON THE LOW-INCOME AOV ANOMALY & REALIGN HIGH-INCOME BRAND POSITIONING

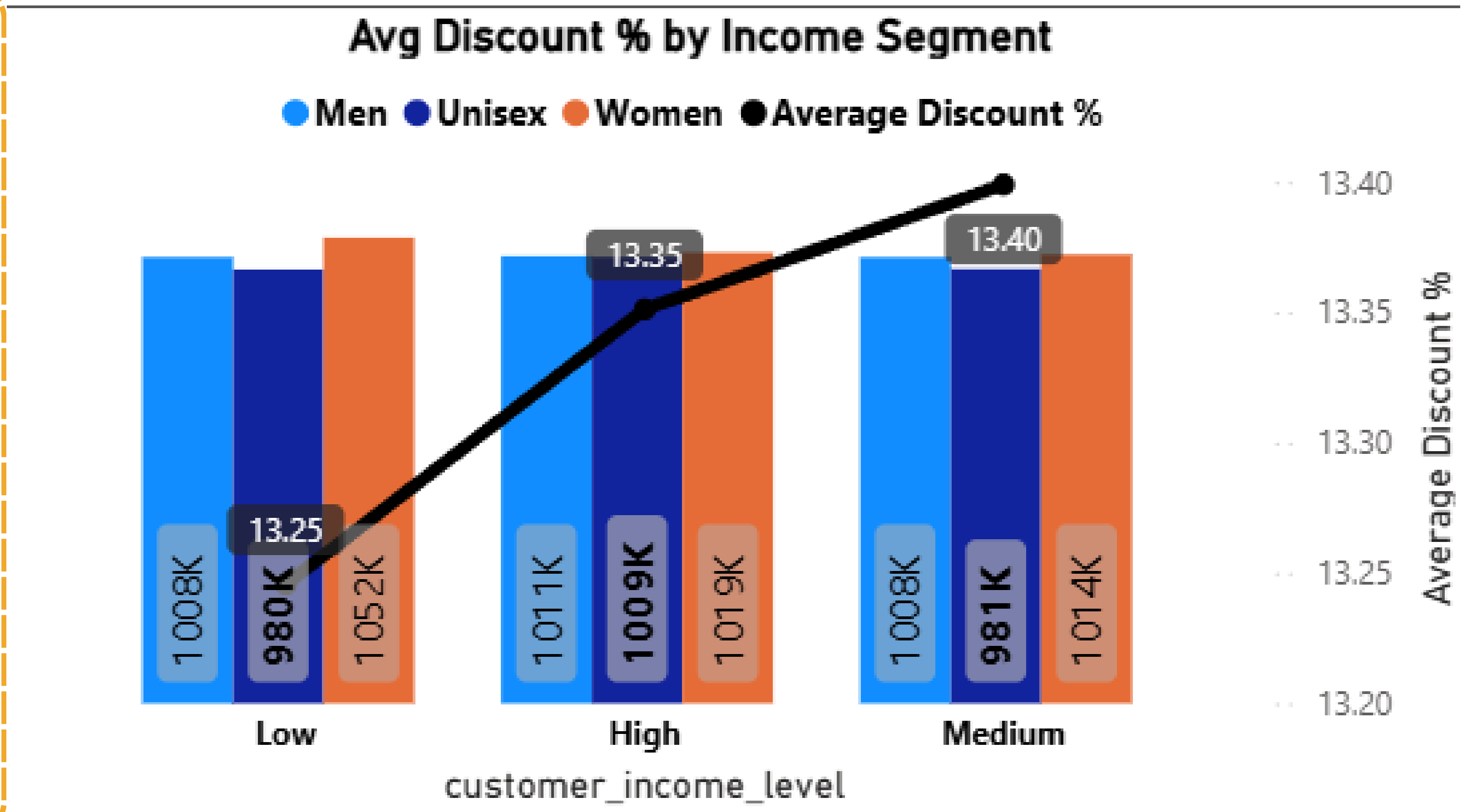
- **High-Income Discount Dependency**: Higher-income shoppers are trading down. The Medium and High-income segments actually capture higher average discounts (~13.35% to 13.40%) compared to the Low-income segment, which starts significantly lower around 13.25%.
- Therefore, higher-income consumers do not maintain higher realized prices; they are highly promotion-sensitive.

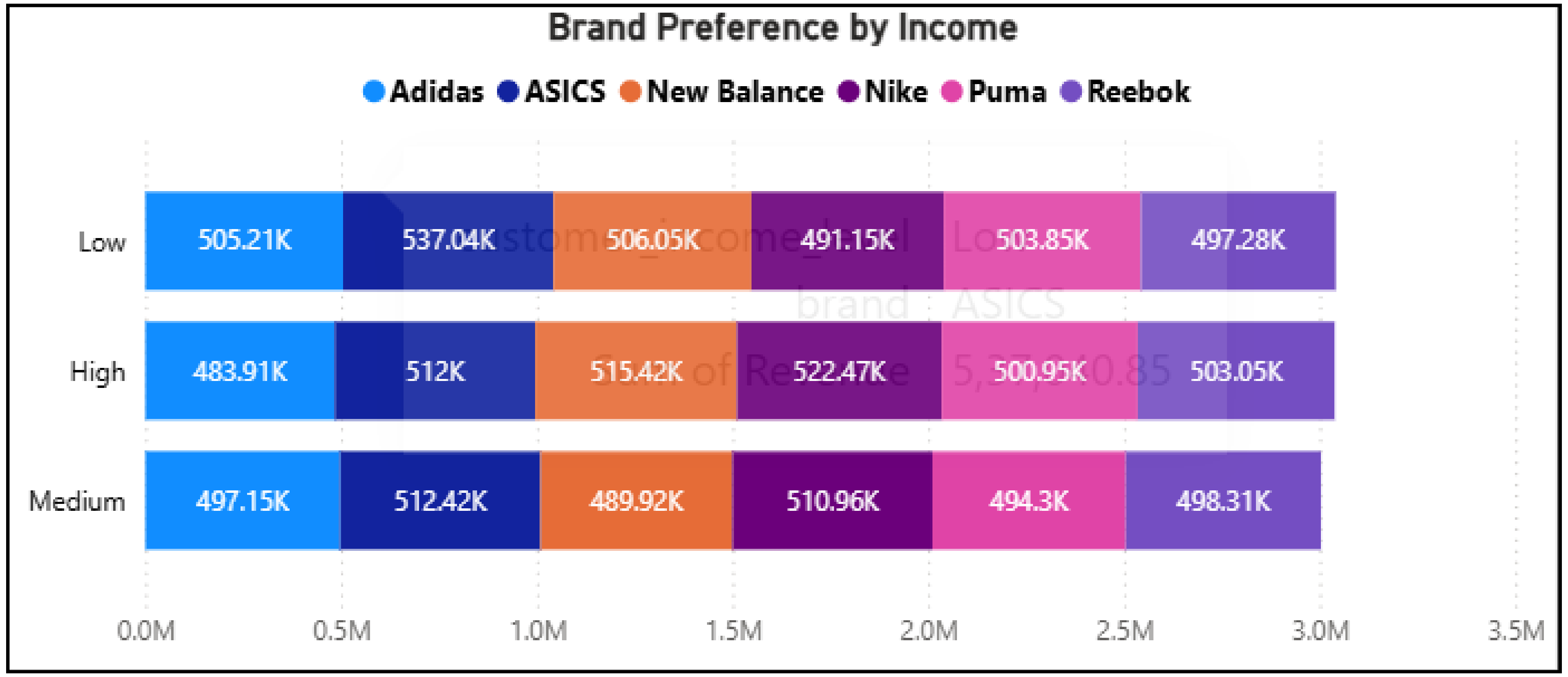
Distinct Brand Preferences by Wealth:

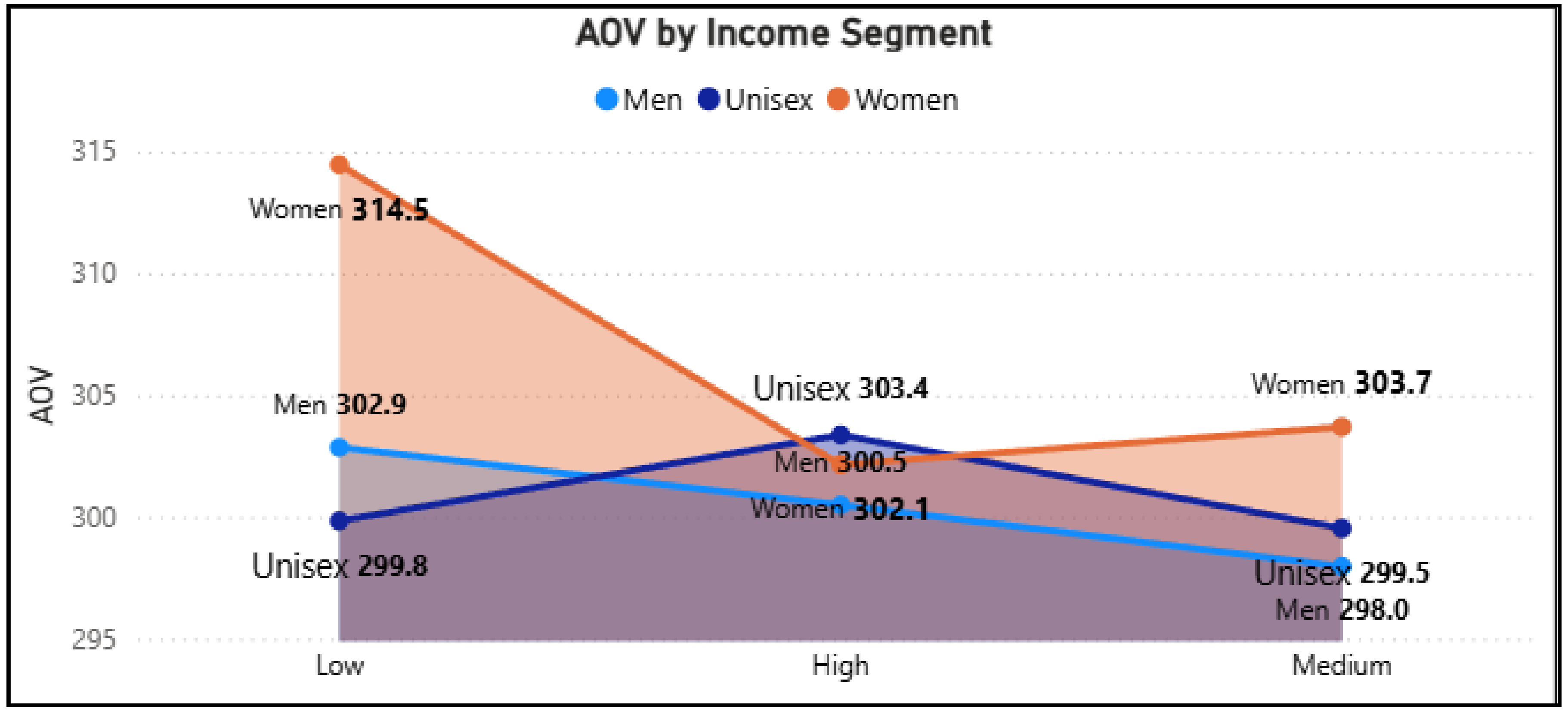
- Low-Income Winner: ASICS dominates this tier with 537.04K in revenue.
- High-Income Winner: Nike rules the affluent demographic, generating 522.47K , followed closely by New Balance (515.42K).
- Medium-Income Winner: ASICS slightly edges out Nike (512.42K vs 510.96K)

Strategic Recommendations

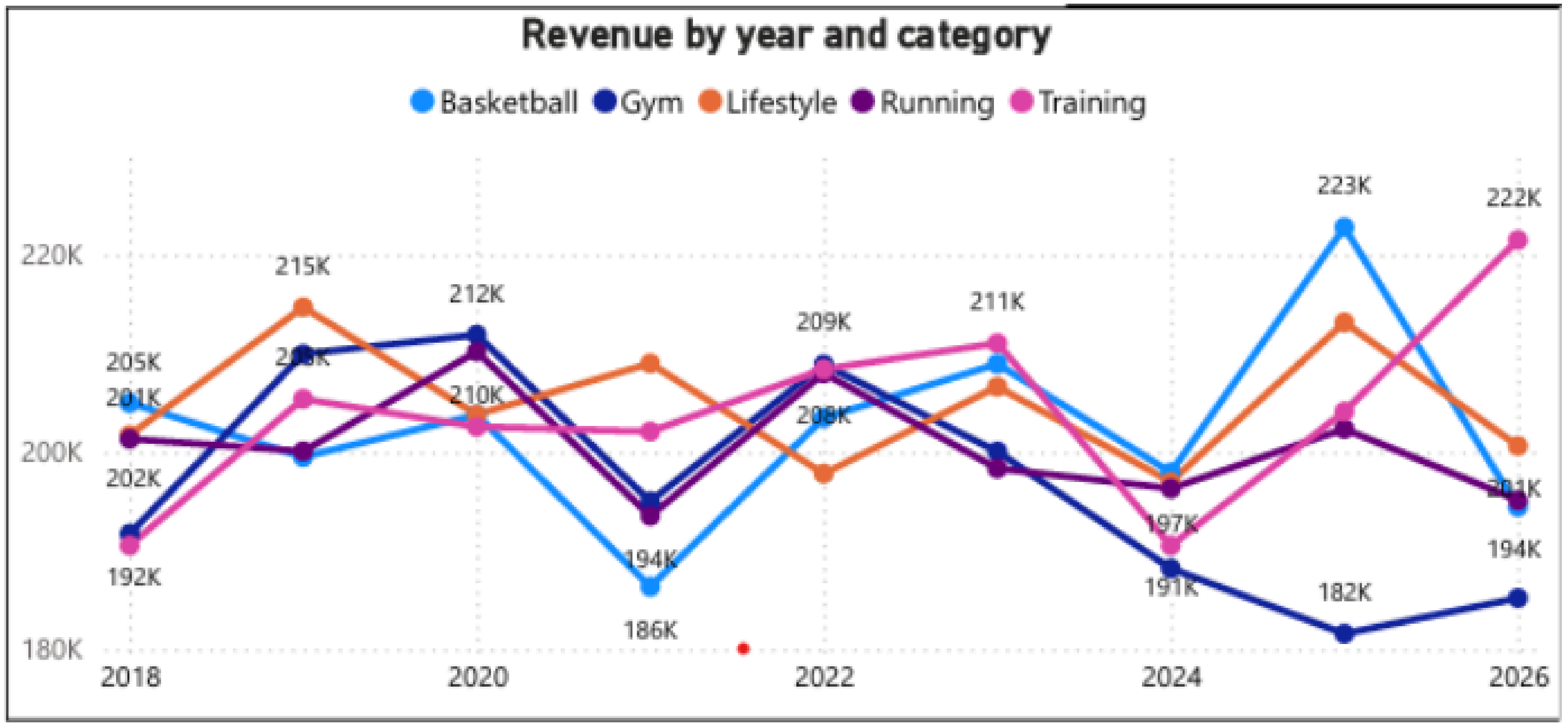
1. Capitalize on Low-Income Premium
2. Target low-income women with premium positioning. They deliver the highest AOV ($314.5) and lowest discount use (~13%). Highlight ASICS as durable, aspirational purchases.
3. Reduce Affluent Discount Dependency
4. Limit deep discounts for medium/high-income shoppers. Replace promotions with exclusivity—early access to Nike and New Balance drops, loyalty perks, and VIP programs.
5. Brand-Income Alignment
6. Reallocate digital spend by brand affinity. Push ASICS toward low/medium-income groups, while focusing Nike and New Balance on high-income consumers through premium loyalty strategies.

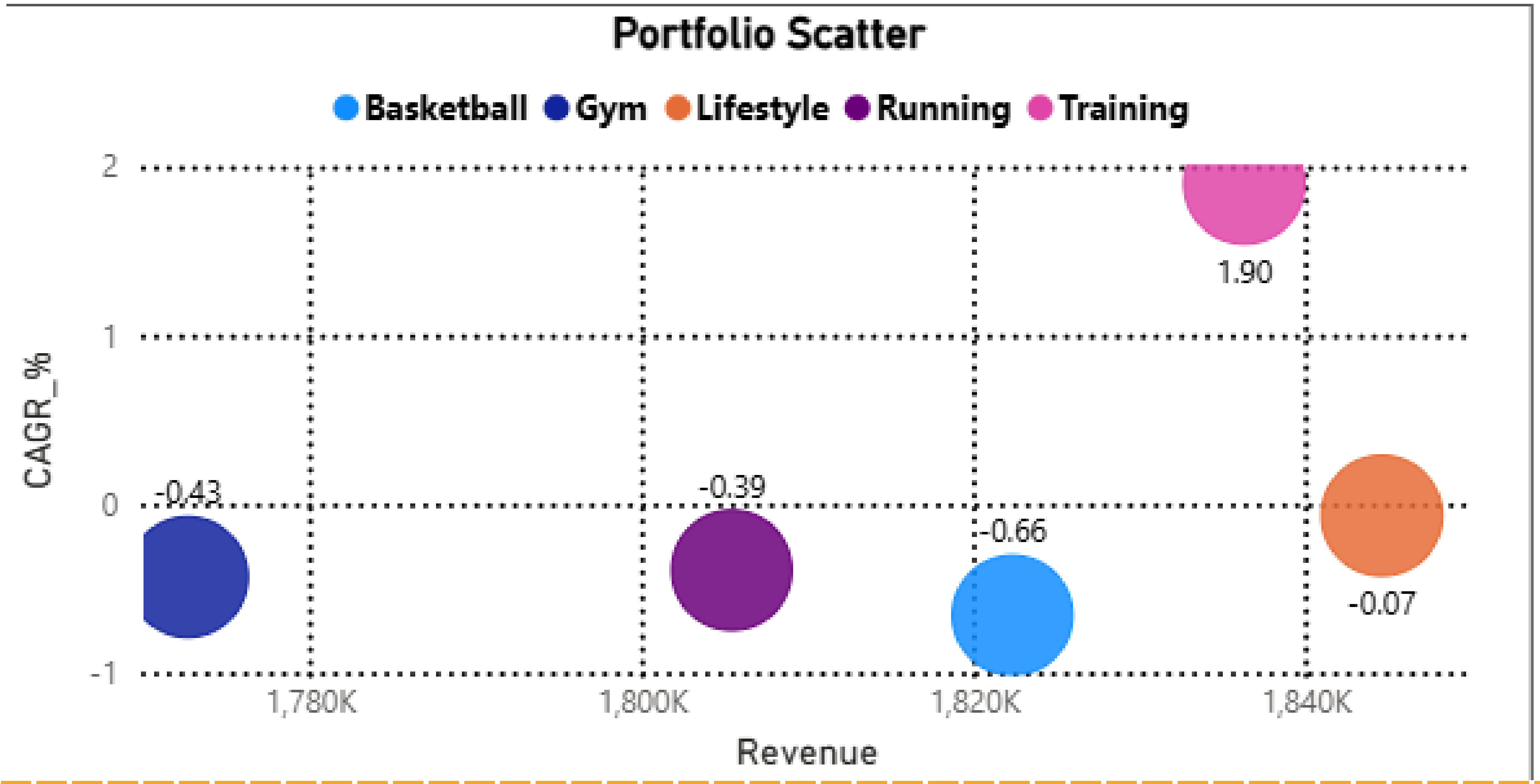






STOP RELYING ON DEEP 'GYM SHOES' DISCOUNTS; START FOCUSING ON HIGH-VALUE 'TRAINING SHOES' SALES





Category Winners & Losers

- Training is our margin stabilizer, delivering the highest Average Order Value (AOV) at $305.14 while keeping discounts lowest (~13.2%).
- Lifestyle is the growth engine, contributing 20.3% of revenue.
- Gym drags margins down, leaning on the steepest average discount of 13.5%.

The Low-Income Premium

- Surprisingly, the Low-income segment spends the most overall, with an AOV of $305.77.
- This is driven almost entirely by Low-income women, who reach an impressive $314.50 AOV.

Affluent Deal-Hunters

- Higher-income shoppers don't actually pay higher realized prices.
- In fact, Medium and High-income segments secure the biggest discounts (13.35%–13.40%).

Income-Driven Brand Loyalty

- Low and Medium-income groups generate the most revenue for ASICS.
- High-income consumers show a strong preference for Nike.

Strategic Recommendations

- Match High-Value Categories to High-Value Segments
- Focus the high-AOV Training category on Low-Income Women. They're already showing a willingness to pay premium prices ($314.50 AOV) without relying on heavy discounts.
- Fix the Gym Category
- Rethink the promotional approach for Gym apparel and footwear. At a 13.5% discount rate, it's eroding margins. If Gym can't perform without deep cuts, consider scaling it back and redirecting resources toward Lifestyle and Training.
- Sell Status to the Wealthy, Not Sales
- Stop subsidizing affluent buyers. They gravitate toward Nike but only purchase with ~13.4% discounts. Replace percentage-off promotions with VIP early access and limited-edition drops to protect brand equity and profitability.

FINAL STRATEGY

Strategic Recommendation 1: Cap Discounts at 10% Across the Portfolio

Justification: Discounts in the 0–10% range bring the highest unit sales across all segments and push revenue to $5.0M. In contrast, offering 21–30% discounts lower Women's AOV from $335.7 to $248.2 without increasing unit sales.

Risks & Trade-offs: Brands like Puma and Adidas rely on bigger markdowns (average discounts of 13.7% and 13.6%) to drive sales. Cutting discounts may cause a short-term dip in volume. The trade-off is giving up low-margin sales to protect long-term brand value and keep AOV strong.

Assumptions: This assumes that customer demand is naturally strongest in the 0–10% discount range, and removing the 21–30% band will stop unnecessary discounts on purchases that would have happened anyway.

Strategic Recommendation 2: Target Low-Income Women with Premium 'Training' Positioning

Justification: Low-income women deliver the highest AOV overall ($314.50). The 'Training' category also supports premium pricing, with an AOV of $305.14.

Risks & Trade-offs: Shifting marketing and inventory toward this niche could reduce appeal to mid-tier buyers. It also means pulling back from the 'Gym' category, which relies on discounts for visibility, in favor of tighter margin control.

Assumptions: This assumes low-income women see these purchases—especially ASICS, which leads in this segment—as durable, aspirational investments and will continue buying without heavy discounts.

Strategic Recommendation 3: Replace Affluent Discounts with VIP/Exclusivity Models

Justification: High-income buyers favor Nike ($522.47K revenue) and New Balance ($515.42K revenue), but they are currently supported by high discount levels (~13.4%).

Risks & Trade-offs: Moving away from discounts may cause some churn among high-income shoppers who expect deals. The trade-off is replacing predictable promotional revenue with exclusivity-driven sales, which may be harder to forecast at first.

Assumptions: This assumes affluent brand loyalists will accept perks like early product access, VIP programs, and loyalty rewards instead of direct discounts.

Thank You